

ANNUAL REPORT (FORM 10-K) - FISCAL YEAR 2023

Item 1. Business Overview

The Company designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories, and sells a range of related services.

Our strategic priorities for fiscal 2023 included expanding our Services segment, deepening our silicon roadmap, and pursuing selective acquisitions to strengthen our product ecosystem. Management believes the competitive landscape remains intense, particularly in the smartphone and tablet categories, and continues to invest in differentiation through hardware, software, and services integration.

Item 7. Management's Discussion and Analysis

Total net sales for fiscal 2023 were \$383,285 million, compared to the prior year. Net income for fiscal 2023 was \$96,995 million. Gross margin remained strong, driven by growth in our Services segment and disciplined cost management in our Products segment. Segment results: iPhone revenue grew driven by strong demand; Mac and iPad revenue were roughly flat year over year; Wearables, Home and Accessories revenue increased on strong unit sales; Services revenue grew double digits, reflecting an expanding installed base.

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Item 8. Financial Statements and Supplementary Data - Human Capital

As of the end of fiscal 2023, the Company had approximately 161,000 full-time equivalent employees worldwide. Total compensation and benefits expense, including salaries, wages, bonuses, and stock-based compensation, was approximately \$24,900 million for fiscal 2023. The Company offers competitive compensation packages designed to attract and retain talent in a highly competitive labor market for engineering and design talent.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk - Outlook

Looking ahead, management expects continued investment in research and development, with an outlook toward modest revenue growth in the following fiscal year, subject to macroeconomic conditions, foreign exchange headwinds, and component supply constraints. The Company anticipates Services revenue will continue to be a key growth driver going into next fiscal year.